

2 - Effect of strategic and tactical decisions on human, physical and financial resources



Do Now

Match each strategy example below to the correct type from Porter's Strategic Matrix

1. A premium outdoor clothing brand sells only to high-altitude mountaineers, focusing on cutting-edge fabric technology.
2. A nationwide supermarket chain lowers prices on everyday items to undercut competitors.
3. A boutique coffee roaster offers rare, single-origin beans and targets a small group of connoisseurs.
4. A fast-fashion retailer achieves economies of scale to deliver the lowest prices across all regions.

Which strategy is hardest to maintain in a highly competitive market? Explain your reasoning.



Learning Outcome

By the end of the lesson you will be able to explain how strategic and tactical decisions affect human, physical, and financial resources.

To Know



- Define strategic and tactical decisions and give examples of each.
- Explain how strategic and tactical decisions impact human resources, such as staffing, recruitment, and training.
- Explain how decisions influence physical resources, including equipment, facilities, and technology.
- Analyse how decisions affect financial resources, such as budgeting, investment, and cash flow.
- Evaluate how businesses balance and manage their resources when making strategic and tactical choices.

Strategic Decisions

What are they?

- ✓ Long-term, high-level decisions that determine the overall purpose, scope, and direction of the business.
- ✓ They guide the business toward its vision and mission.
- ✓ Made by **top-level management** (e.g., board of directors, CEO).

Characteristics:

- Affect the **whole business**.
- Have a **long-term impact** (usually 3–5+ years).
- Involve **large investments** and **high risk**.
- Require extensive analysis of internal & external environments.

- Difficult and costly to reverse once implemented.

Examples:

- Entering a completely new market or country.
- Merging with or acquiring another company.
- Changing the business model (e.g., moving from brick-and-mortar to online).
- Committing to a sustainability or digital transformation strategy.

Tactical Decisions

What are they?

- ✓ **Medium- or short-term decisions** that implement the strategic plans.
- ✓ They focus on **how** to achieve the strategic objectives.
- ✓ Usually made by **middle and lower-level managers**.

Characteristics:

- Affect specific **departments or teams**.
- Have a **short-to-medium-term impact** (months to a year).
- Involve **moderate risk** and lower cost.
- Can often be adjusted if circumstances change.
- Focused on operational efficiency and resource allocation.

Examples:

- Designing and launching a marketing campaign for a new product.
- Hiring staff to meet seasonal demand.
- Deciding on pricing tactics to compete in a busy period.
- Choosing suppliers or negotiating contracts for the year.

Effect of strategic and tactical decisions on human, physical and financial resources

Practice exam questions

Physical resources

- Strategic decisions might involve investing in new buildings, machinery, or technology to achieve long-term goals.
- Tactical decisions could involve maintaining, repairing, or efficiently using existing equipment and facilities.
- Both can impact how effectively physical resources are used and whether more need to be purchased.



I Do, We Do, You Do

McDonald's introducing plant-based products

McDonald's is finally introducing plant-based products produced by *Beyond Meat*. McDonald's will sell what it calls the PLT, which stands for plant, lettuce and tomato, for 12 weeks starting September 2019 in 28 restaurants throughout Canada.

"As customer interest in plant-based products accelerated rapidly, our curiosity also increased too. We have been observing this emerging trend, and now we are ready to learn more by running a test in one of our markets. We are in learning mode," said Ann Wahlgren, Vice President of Global Menu Strategy at McDonald's.

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Plant-based meat substitute products have increased in popularity, with start-up companies such as *Beyond Meat* and *Impossible Foods* selling pea or soy-based burgers that copy the taste and texture of meat.

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It is not McDonald's first experience of using plant-based meat substitutes. In April 2019,

New test marketing in North America suggests *McDonald's* could soon introduce meatless burgers to all its restaurants. Other fast food chains that have already put plant-based products on their menus in 2019 include *Burger King*, *Kentucky Fried Chicken* and *Tim Horton's*.

* vegan: a product that does not contain any animal ingredients or animal-derived ingredients.

(c) Discuss how the physical resources in *McDonald's* restaurants might be affected by the introduction of plant-based products.

Define Key term:	
Paragraph 1 POINT IMPLICATION/S WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	One ... is.... This is because... Consequently/This means/This will lead to... Therefore... As a result, ...
Paragraph 2 POINT IMPLICATION/S WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	In addition another ... is....because.... Consequently/This means/This will lead to... Therefore...
Paragraph 3 POINT IMPLICATION/S WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	However, ... This is because... Consequently/This means/This will lead to... Therefore...

**THE IMPLICATION/S
HAVE ON THE
BUSINESS
OBJECTIVE/S?**

As a result, ...



You Do



Financial resources

- Strategic decisions often require significant funding, such as for acquisitions, product development, or international expansion.
- Tactical decisions affect short-term budgets, like controlling daily costs, managing cash flow, and allocating resources to immediate needs.
- Both types of decisions determine how much money is available, how it is used, and whether the business can afford its plans.

Lush promises to invest in UK stores after return to profit

Ethical UK high street retailer *Lush*, best known for its highly scented bath soaps and handmade cosmetics, returned to profitability in the financial year 2021–22.

The latest statement of comprehensive income for *Lush* showed a pre-tax profit of £29m during 2021–22 compared to a loss of £45m in the previous year. However, turnover was lower at £408.7m, down from £437.8m in the previous year.

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Lush operates retail outlets in 48 countries and has manufacturing facilities in six countries. It plans to attract more customers by investing in larger outlets with services such as health spas and hairdressers.

The business made no dividend payments to its shareholders in 2022. “We have to invest money now. We need to refit our shops,” said Mark Constantine, one of the co-founders of *Lush*.

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The group continues its policy of charitable donations, with *Lush* raising funds of £6.3m for several charities.

Lush boss Mark Constantine happy to lose £10m after leaving social media

Ethical beauty brand *Lush* is expected to lose £10m in sales after leaving four major social media platforms. *Lush*'s co-founder, Mark Constantine, shut its Facebook, Instagram, Snapchat and TikTok accounts. Its Facebook and Instagram accounts had 10.6 million followers.

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Constantine said he had no choice and that it is a price he is willing to pay. He was concerned over research showing the negative impact of social media platforms on many teenage girls, key consumers for *Lush*.

“We’ve tightened up during the global health crisis, it won’t destroy us. We will find new ways to connect with our customers as well as using the older tried and tested routes,” he added.

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- (c) Using Extract C, discuss the effects on *Lush*'s financial resources of its strategic decision not to use social media.

(8)

Define Key term:

Paragraph 1

POINT

One ... is....

This is because...

IMPLICATION/S WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	Consequently/This means/This will lead to... Therefore... As a result, ...
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✦ Human resources

- Strategic decisions (e.g., expanding into new markets) may require hiring more staff, training employees, or relocating workers.
- Tactical decisions (e.g., scheduling shifts or assigning tasks) affect day-to-day workload, morale, and productivity.
- Can influence recruitment needs, skills development, and employee retention.

Extract A

The Five Guys' family, freshness and customisation

Jerry and Janie Mitchell lived in Arlington, Virginia. In 1986 they gave their five sons a choice: start a business or go to college. The business route won and the family opened the first *Five Guys* – named after the five brothers.

To this day, the formula remains simple: 'Burgers and fries cooked to perfection' in keeping with Jerry's philosophy of 'To perfect and to serve.' The family is still very much

involved in the business, meeting every Tuesday.

Five Guys is organised differently from other fast-food burger outlets. You will not find a freezer in any *Five Guys* restaurant because everything is cooked from fresh ingredients. Food is prepared every day for maximum freshness including hand cutting the potatoes. Employees do the cooking without timers and are trained to judge the food's readiness by sight, aroma and texture. In other fast-food outlets machines are used to cook the food and timers are relied on to indicate when the food is ready to serve. 10

The burgers, hotdogs and sandwiches come with up to 15 free toppings, giving 250,000 combinations to choose from. If you had one a day, it would take you 684 years to try them all and the milkshake machines give over 1,000 possible combinations. 15

Extract A states that *Five Guys'* food production is organised differently from other fast-food burger outlets.

(c) Discuss the impact of this on its human resources.

(8)

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WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	Therefore... As a result, ...
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Affirmative Checking

Coca-Cola is launching its first new flavour in years

Coca-Cola has added its name to the latest brands trying to benefit from the trend for spicy snacks and beverages. From Flamin' Hot Cheetos to Sweet Heat Starburst, snacks are getting spicier. Now, the fizzy drinks giant, *Coca-Cola*, has become part of the trend.

Coca-Cola has been exploring ways to get younger drinkers excited about its signature cola. In 2022, it launched Coca-Cola Creations, a series of eight limited-edition cola flavours in colourful cans and bottles. *Coca-Cola* experimented with adding hints of coconut, strawberry, watermelon and other flavours to the drinks. 5

Coca-Cola has now introduced Coca-Cola Spiced, the first new permanent product to its North American portfolio in three years. Coca-Cola Spiced and Coca-Cola Spiced Zero Sugar will go on sale in the US and Canada in February 2024. 10

What does the new flavour taste like? Coca-Cola Spiced does not have a lot of heat despite the name. The main flavour that drinkers will notice is a hint of raspberry. *Coca-Cola* will not name the spices it added – it guards its recipes closely – but they taste like boosted-up versions of the spices in regular Coca-Cola. 15

It usually takes *Coca-Cola* at least a year to develop a new drink flavour but Coca-Cola Spiced took just seven weeks based on customer research.

Evaluate the possible impact on *Coca-Cola* from its strategic decision to launch Coca-Cola Spiced.

(20)

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